

NVIDIA Corporation

NVDA NASDAQ

Buy	\$216.85 ▼ 0.33%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.25T
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NVDA: Cooling Into Earnings, But Policy Winds Still Blow

WHAT HAPPENED

- Stock is drifting lower for the fifth straight day (down ~3.7% from Aug 14) heading into earnings next week — this is classic pre-earnings de-risking. Big money is trimming so they don't get caught offside if the print disappoints. Nothing broken here, just nerves.
- Nvidia's reportedly in talks to invest in Cloverleaf Infrastructure (a data center power/land developer) — this matters because power, not chips, is now the actual bottleneck for AI. NVDA is quietly buying into the whole stack.

WHY IT MATTERS

The setup into earnings is interesting: options flow shows heavy call buying at \$217.5 (traders betting on a bounce) but also unusual put buying at \$227.5 and \$237.5 — meaning smart money is hedging the upside, not the downside. Translation: the market thinks earnings will be fine but is skeptical of a monster rally from here. The Cloverleaf move tells you management sees power/grid capacity as the real constraint on their growth — that's a strategic tell that the AI buildout has a longer runway than skeptics (like Chamath calling it a bubble) think. If you're long, the Chamath "945% run, zero to do with real earnings" narrative is the sentiment risk you're fighting — but the numbers keep proving it wrong quarter after quarter.

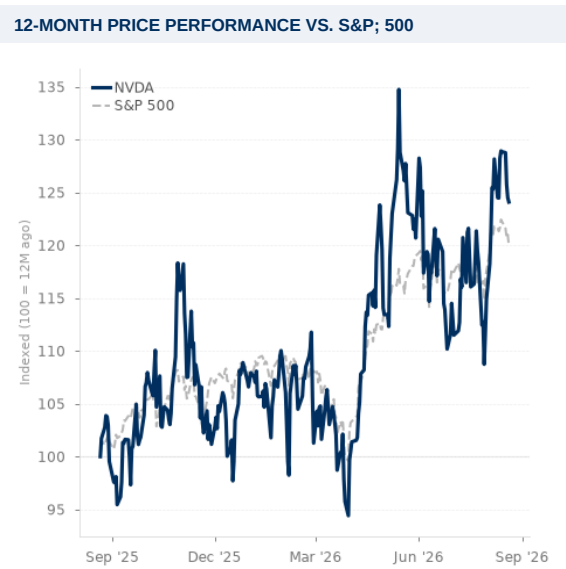
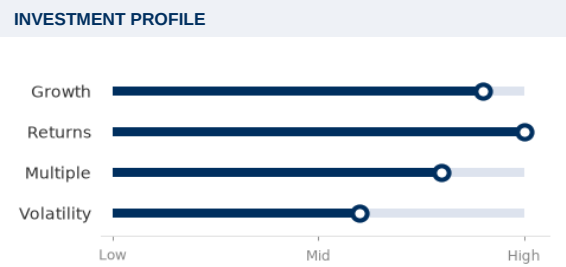
POLICY & POLITICAL WATCH

The biggest live policy issue is the ongoing China export licensing regime — the Trump administration cut a deal earlier this year letting NVDA sell H20 chips to China in exchange for a 15% revenue cut to the US Treasury, which is unprecedented and could get challenged in court. Watch for any expansion of restrictions to Blackwell-class chips, which would immediately hit ~13% of revenue. On the tailwind side, the CHIPS Act 2.0 discussions and the administration's "AI Action Plan" continue to push federal AI infrastructure spending — every new federal AI contract flows through NVDA silicon, directly or indirectly.

IS IT EXPENSIVE?

At ~\$5.25T market cap and roughly 49x forward earnings, you're paying \$49 for every \$1 of profit expected next year — expensive vs the S&P at ~22x, but cheap if you believe FY27 revenue hits \$265B+ (that would make it more like 35x). The real question isn't the multiple, it's whether data center growth can stay above 40% YoY — as long as it does, the valuation prints itself into reasonableness. If growth cracks to sub-25%, the multiple compresses hard and this becomes a \$170 stock fast.

Key Data	
Price (USD)	\$216.85
12M Price Target	\$260.00
Upside / (Downside)	+19.9%
Market Cap	\$5.25T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$6.10
Fwd P/E	48.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$222.00	\$205.00
6 Months	\$265.00	\$240.00	\$190.00
1 Year	\$300.00	\$260.00	\$180.00
2 Years	\$360.00	\$300.00	\$170.00
5 Years	\$500.00	\$380.00	\$200.00
10 Years	\$750.00	\$500.00	\$220.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% this week) — this is directly tied to AI power demand and the administration's push for more domestic energy production; nuclear and natgas names are the sleeper AI trade

COOLING OFF: Tech (-4% week), Comm Services (-1.7%) — profit taking after a huge run, plus the market's getting antsy about AI capex sustainability

ROTATION WATCH: Money is moving from mega-cap tech into energy and real assets — investors are essentially playing the "AI needs power" second-order trade rather than chasing NVDA at all-time highs

RELATED PLAY: If you believe the AI story, the power infrastructure names (Vistra, Constellation, GE Vernova) and the cooling/data center REITs (Digital Realty, Equinix) are the picks-and-shovels-to-the-picks-and-shovels play

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI silicon for hyperscalers — the "not NVDA" AI trade that's working
- VST (Vistra Energy): Nuclear + gas power for data centers, up huge as the power bottleneck narrative takes hold

NVDA CONTEXT: NVDA is lagging its own peer group this week as the market rotates within AI rather than out of it — that's actually healthy, not bearish. When the whole complex sells off together, that's when you worry. Right now it just looks like pre-earnings positioning.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — the fundamental story is still intact and the policy environment is net-friendly, but earnings next week creates binary short-term risk

POSITION SIZE: 4-6% as a core AI holding — big enough to matter, small enough that a bad China headline doesn't wreck your year

ENTRY POINTS: The \$210-217 zone right now is reasonable; if it dips to \$200 on earnings jitters or a macro flush, back up the truck

TIME HORIZON: 12-24 months — the catalyst you're waiting for is the Blackwell Ultra ramp showing up in Q4/Q1 numbers and the FY27 data center guide

WHEN TO BAIL: Data center growth drops below 30% YoY, OR China export controls expand to Blackwell, OR any hyperscaler cuts 2027 capex guidance

HEDGING: Simplest hedge is buying Sept or Oct \$200 puts before earnings — costs about 1.5% of your position but caps your downside if the print disappoints; alternatively, trim 20% of the position into the print and buy it back after